

2026 Federal Budget: What does it mean for business

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By Sian Fenner

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Key new initiatives for the business sector.

In this update, Westpac Group Head of Business and Industry Sian Fenner unpacks the key measures and tax reforms impacting businesses against a challenging economic backdrop.

The Federal 2026–27 Budget centres on measures and structural reforms to lift business resilience and reduce regulatory burdens. While proposed changes to capital gains tax, negative gearing and the

treatment of discretionary trusts add complexity for some businesses, on balance the policy mix is supportive, though the transmission to productivity is likely to be gradual, with near-term impacts concentrated in cash flow rather than a material lift in investment.

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By Sian Fenner

The top half of the image features a solid red background. Overlaid on this are several abstract, three-dimensional geometric shapes in various shades of red, creating a modern, architectural feel. These shapes include rectangular blocks and trapezoidal forms, some of which appear to be layered or stacked.

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Federal Budget 2026–27 Infographic

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Federal Budget May 2026–27 with Chief Economist Luci Ellis

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